Virtual University Of Pakistan

Semester Fall 2023

LECTURE WISE NOTES:
Short Questions File & MCQ's File
0312-6968553

COURSE: ECO401

MCQ's File For Midterm

LECTURE # 01

Economics is primarily concerned with the study of:
a) Physical world phenomena
b) Human behavior in society
c) Natural sciences
d) Laboratory experiments

Normative economics is concerned with:
a) Describing how an economy works
b) Making value judgments about the economy
c) Analyzing facts and behavior in an economy
d) Providing instructions for economic policies

Positive economics focuses on:
a) Describing how an economy works
b) Making value judgments about the economy
c) Analyzing facts and behavior in an economy
d) Providing instructions for economic policies

Scarcity in economics exists because:
a) Goods are rare and difficult to produce
b) Society has unlimited wants and needs, but limited resources
c) Economic resources can supply all the goods demanded
d) Rationing is not needed in the economy

Rationing in economics is a process used to:

0312-6968553

a) Increase the supply of scarce resources
b) Allocate a limited commodity based on a standard or criterion
c) Eliminate scarcity in the economy
d) Determine the optimal mix of resources

Which economic system is characterized by government directive in determining economic functions?
a) Dictatorship
b) Free market/capitalist economy
c) Islamic economic system
d) Command or planned economy

Which economic system primarily relies on the demand and supply interactions in the market?
a) Dictatorship
b) Free market/capitalist economy
c) Islamic economic system
d) Command or planned economy

What is the primary distinction between microeconomics and macroeconomics?
a) Microeconomics studies the entire economy, while macroeconomics studies parts of the economy.
b) Microeconomics focuses on aggregate production, while macroeconomics focuses on markets.
c) Microeconomics studies the economic trees, while macroeconomics studies the economic forest.
d) Microeconomics examines supply and demand, while macroeconomics analyzes business cycles.

Lecture # 02

What is the concept of rational choice based on?
a) Emotions and whims
b) Pure reason and logic
c) Nepotism and favors
d) Barter trade and non-monetary systems

What is the goal of consumers in making rational decisions?
a) Maximizing costs
b) Minimizing benefits
c) Maximizing satisfaction relative to cost

03126968553

d) Maximizing emotions and whims

What is the opportunity cost of a particular choice?
a) The satisfaction derived from the next best alternative foregone
b) The total cost of producing an additional unit of a good or service
c) The total benefit derived from consuming an additional unit of a good or service
d) The curve showing the maximum amount of goods a country can produce

What does the production possibility frontier (PPF) represent?
a) The efficient utilization of resources
b) The inefficient use of resources
c) The maximum production possible given existing resources and technology
d) The boundary between cost and benefit analysis

What is economic growth?
a) The increase in total output of a country over time
b) The decrease in total output of a country over time
c) The optimal choice for producers
d) The concept of equity in economics

Can production and consumption take place without money?
a) No, money is essential for production and consumption
b) Yes, people can produce things for their own consumption or engage in barter trade
c) Yes, people can produce things only for their own consumption
d) No, money is necessary for barter trade

What does the saying "There is no such thing as a free lunch" mean?
a) Everything is free if you look hard enough
b) There is always an opportunity cost associated with consumption
c) Lunches are expensive and should be avoided
d) Free lunches are only available to certain individuals

Under what circumstances would the production possibility curve be bowed in toward the origin?
a) When there are constant opportunity costs
b) When there are decreasing opportunity costs
c) When there are increasing opportunity costs
d) When there are no opportunity costs

What is the difference between positive and normative statements?
a) Positive statements are based on facts, while normative statements are value judgments

b) Positive statements are value judgments, while normative statements are based on facts
c) Positive statements are opinions, while normative statements are objective observations
d) Positive statements are subjective, while normative statements are objective

How would a worker decide how much overtime to work in a given week using marginal costs and benefits?
a) By considering the extra pay and extra effort and loss of leisure
b) By considering the extra pay and extra satisfaction derived from leisure time
c) By considering the total pay and total effort required
d) By considering the total

Lecture # 03

Which markets exchange consumer goods purchased by the household sector, capital investment goods purchased by the business sector, and goods purchased by government and foreign sectors?
a) Product markets
b) Factor markets
c) Commodity markets
d) Resource markets

Which markets are used to exchange the services of factors of production such as labor, capital, land, and entrepreneurship?
a) Product markets
b) Factor markets
c) Commodity markets
d) Resource markets

What is the measure of the total value of goods exchanged in product markets each year?
a) Gross national product
b) Gross domestic product
c) National income
d) Market value

What is the signaling and rationing device that prompts consumers and producers to adjust their demand and supply in response to a shortage or surplus?
a) Price mechanism
b) Market equilibrium

03126968553

c) Supply and demand curve
d) Price elasticity

Which type of goods experience an increase in quantity demanded as consumer income increases?
a) Inferior goods
b) Giffen goods
c) Normal goods
d) Substitute goods

Lecture # 04

According to the law of supply, what happens to the quantity supplied as the price increases?
a) Quantity supplied decreases
b) Quantity supplied remains constant
c) Quantity supplied increases
d) Quantity supplied becomes zero

What is a supply schedule?
a) A graph showing various combinations of quantity supplied and price
b) A table showing various combinations of quantity supplied and price
c) An equation representing the relationship between quantity supplied and price
d) A representation of supply as a function of its determinants

What is the equational representation of supply as a function of its determinants?
a) Supply schedule
b) Supply curve
c) Supply function
d) Supply equation

Which of the following is NOT a determinant of supply?
a) Costs of production
b) Profitability of alternative products
c) Aims of consumers
d) Expectations of producers

What is equilibrium?
a) A state where quantity demanded exceeds quantity supplied
b) A state where quantity supplied exceeds quantity demanded

03169968553

c) A state where quantity demanded is equal to quantity supplied
d) A state where there are shortages and surpluses in the market

Lecture # 05

1. What causes a shift in the equilibrium of the market?
a) Both demand and supply curve shifts.
b) Only demand curve shifts.
c) Only supply curve shifts.
d) None of the above

What happens to the equilibrium when the demand curve shifts?
a) The new equilibrium is obtained by moving along the supply curve.
b) The new equilibrium is obtained by moving along the demand curve.
c) The new equilibrium is obtained by moving along both curves.
d) The new equilibrium remains the same.

What happens to the equilibrium when the supply curve shifts?
a) The new equilibrium is obtained by moving along the supply curve.
b) The new equilibrium is obtained by moving along the demand curve.
c) The new equilibrium is obtained by moving along both curves.
d) The new equilibrium remains the same.

What happens to the equilibrium when both the demand and supply curves shift?
a) The new equilibrium is obtained by moving along the supply curve.
b) The new equilibrium is obtained by moving along the demand curve.
c) The new equilibrium is obtained by moving along both curves.
d) The new equilibrium remains the same.

What happens to the equilibrium price and quantity of butter if the price of margarine rises?
a) Price decreases, quantity increases.
b) Price increases, quantity decreases.
c) Price increases, quantity remains the same.
d) Price decreases, quantity remains the same.

What happens to the equilibrium price and quantity of butter if the demand for milk rises?
a) Price decreases, quantity increases.
b) Price increases, quantity decreases.

c) Price increases, quantity remains the same.
d) Price decreases, quantity remains the same.

What happens to the equilibrium price and quantity of butter if the price of bread rises?
a) Price decreases, quantity increases.
b) Price increases, quantity decreases.
c) Price increases, quantity remains the same.
d) Price decreases, quantity remains the same.

Lecture # 06

The concept of elasticity is important in our daily lives because:
a) It helps firms determine their advertising strategies.
b) It helps firms set the prices of their products.
c) It helps the government collect revenues through taxes.
d) All of the above.

Price elasticity of demand is defined as:
a) The percentage change in quantity demanded with respect to the percentage change in price.
b) The percentage change in price with respect to the percentage change in quantity demanded.
c) The percentage change in income with respect to the percentage change in quantity demanded.
d) The percentage change in quantity demanded with respect to the percentage change in income.

Price elasticity of supply is defined as:
a) The percentage change in quantity supplied with respect to the percentage change in price.
b) The percentage change in price with respect to the percentage change in quantity supplied.
c) The percentage change in income with respect to the percentage change in quantity supplied.
d) The percentage change in quantity supplied with respect to the percentage change in income.

Income elasticity of demand is defined as:

03126998553

a) The percentage change in quantity demanded with respect to the percentage change in price.
b) The percentage change in price with respect to the percentage change in quantity demanded.
c) The percentage change in quantity demanded with respect to the percentage change in income.
d) The percentage change in income with respect to the percentage change in quantity demanded.

Cross-price elasticity of demand is defined as:
a) The percentage change in quantity demanded of a specific good with respect to the percentage change in the price of another related good.
b) The percentage change in price with respect to the percentage change in quantity demanded of a specific good.
c) The percentage change in quantity demanded of a specific good with respect to the percentage change in income.
d) The percentage change in income with respect to the percentage change in quantity demanded of a specific good.

Lecture # 07

What concept is used by firms to set prices based on the demand for their product?
a) Price Elasticity of Demand
b) Price Elasticity of Supply
c) Income Elasticity of Demand
d) Cross-Price Elasticity of Demand

Which type of elasticity measures the responsiveness of quantity demanded to changes in price?
a) Price Elasticity of Demand
b) Price Elasticity of Supply
c) Income Elasticity of Demand
d) Cross-Price Elasticity of Demand

What is the formula for calculating Price Elasticity of Demand?
a) PЄd = (Percentage change in Quantity Demanded) / (Percentage change in Price)
b) PЄd = (Percentage change in Price) / (Percentage change in Quantity Demanded)
c) PЄd = (Percentage change in Quantity Demanded) * (Percentage change in Price)
d) PЄd = (Percentage change in Price) * (Percentage change in Quantity Demanded)

Inelastic demand means:
a) The price of a product has a large effect on its quantity demanded
b) The price of a product has a small effect on its quantity demanded
c) The demand for a product is perfectly responsive to changes in price
d) The demand for a product is perfectly unresponsive to changes in price

What happens to total revenue when demand is elastic?
a) Total revenue increases as price increases
b) Total revenue decreases as price increases
c) Total revenue remains constant as price increases
d) Total revenue is not affected by price changes

What is the formula for calculating arc elasticity?
a) (Change in quantity/Change in price) * (Average price/Average quantity)
b) (Change in price/Change in quantity) * (Average quantity/Average price)
c) (Change in quantity/Change in price) + (Average price/Average quantity)
d) (Change in price/Change in quantity) + (Average quantity/Average price)

Point elasticity is used when:
a) The change in price is large
b) The change in quantity is large
c) The change in price is small
d) The change in quantity is small

What type of demand curve has unit elasticity?
a) Perfectly elastic demand curve
b) Perfectly inelastic demand curve
c) Vertical demand curve
d) Horizontal demand curve

Lecture # 08

The income elasticity of demand measures:
a) The percentage change in demand due to a percentage change in price.
b) The percentage change in demand due to a percentage change in income.
c) The percentage change in price due to a percentage change in demand.
d) The percentage change in income due to a percentage change in demand.

If the income elasticity of demand for a good is positive, it means:
a) The good is a normal good.
b) The good is an inferior good.

03126968953

c) The demand for the good is income elastic.
d) The demand for the good is income inelastic.

The determinants of income elasticity of demand include:
a) Degree of necessity of the good.
b) The rate at which the desire for the good is satisfied as consumption increases.
c) The level of consumer income.
d) All of the above.

Cross-price elasticity of demand measures:
a) The percentage change in quantity demanded of a good in response to a percentage change in its own price.
b) The percentage change in quantity demanded of a good in response to a percentage change in the price of a related good.
c) The percentage change in price of a good in response to a percentage change in its own quantity demanded.
d) The percentage change in price of a good in response to a percentage change in the quantity demanded of a related good.

The determinants of cross-price elasticity of demand include:
a) Time period.
b) Tastes and preferences.
c) Income level of consumers.
d) All of the above.

The incidence of taxation refers to:
a) How much of the tax burden is borne by consumers and producers.
b) The percentage change in quantity demanded due to a percentage change in tax rate.
c) The percentage change in price due to a percentage change in tax rate.
d) The percentage change in income due to a percentage change in tax rate.

The three core rules of elasticity include:
a) Price elasticity, income elasticity, and cross-price elasticity.
b) Inelastic demand, elastic demand, and unitary demand.
c) Normal goods, inferior goods, and substitutes.
d) Price elasticity, income elasticity, and complementary goods.

The price elasticity of demand for a particular brand of a product is usually greater than that for the product in general because:
a) People can switch to an alternative brand if the price of one brand goes up.
b) There is a difference in the size of the income effect.
c) There is a difference in the size of the substitution effect.
d) People have a stronger preference for specific brands.

Demand for a general item of expenditure like food or clothing is generally:
a) Price-elastic.
b) Price-inelastic.
c) Income-elastic.
d) Income-inelastic.

As you move down a straight-line demand curve, the elasticity:
a) Increases.
b) Decreases.
c) Remains constant.
d) Fluctuates.

Lecture # 09

What is the most common form of scarcity faced by consumers?
a) Scarcity of time
b) Scarcity of resources
c) Scarcity of income
d) Scarcity of knowledge

What does rational choice involve?
a) Evaluating total costs and benefits
b) Evaluating marginal costs against marginal benefits
c) Evaluating outcomes based on actual results
d) Evaluating outcomes based on choices made

What is the difference between "ignorance" and "irrationality"?
a) Ignorance is based on actual outcomes, while irrationality is based on choices made.
b) Ignorance is a lack of information, while irrationality is making decisions without considering available information.
c) Ignorance is a rational concept, while irrationality is an ex-ante concept.
d) Ignorance and irrationality are synonymous.

What is the cardinal approach in analyzing consumer behavior?
a) Ranking possibilities or outcomes in order of preferences
b) Assigning exact values or units to measure utility
c) Evaluating marginal costs against marginal benefits
d) Taking into account all available information

03126968553

What does the law of diminishing marginal utility state?
a) Marginal utility increases as consumption of a good increases.
b) Marginal utility remains constant regardless of the quantity consumed.
c) Marginal utility decreases as consumption of a good increases.
d) Marginal utility is highest at the peak of total utility.

What is consumer surplus?
a) The difference between willingness to pay and actual price
b) The difference between total utility and marginal utility
c) The difference between total costs and benefits
d) The difference between scarcity and rational choice

When does the optimal point of consumption occur?
a) When marginal utility is greater than price
b) When consumer surplus becomes zero
c) When total utility is maximum
d) When scarcity is eliminated

What is the equi-marginal principle?
a) The principle of evaluating total costs and benefits
b) The principle of diminishing marginal utility
c) The principle of equalizing marginal utility per dollar spent on each good
d) The principle of weighing marginal costs against marginal benefits

Lecture # 10

According to the supply side view, the value of a good is determined by:
a) Its marginal utility
b) The labor content used in its production
c) Its demand in the market
d) The scarcity of the good

The demand side view on the value of a good focuses on:
a) Marginal utility
b) Total utility
c) Labor content
d) Scarcity

03126968553

The diamond-water paradox is explained by:
a) The law of diminishing marginal utility
b) The principle of supply and demand
c) The labor content in production
d) The principle of risk aversion

According to economists like Adam Smith, the price of diamonds is high because:
a) Diamonds are more essential for life than water
b) Water is more abundant than diamonds
c) Diamonds have a higher labor content in production
d) Diamonds have a higher marginal utility than water

Uncertainty in consumption decisions refers to:
a) The possibility of gain or loss
b) The calculation of probabilities
c) The unknown future outcomes
d) The risk aversion of consumers

Risk-neutral individuals make purchasing decisions when:
a) Odds ratio (OR) is equal to 1
b) Odds ratio (OR) is less than 1
c) Odds ratio (OR) is greater than 1
d) Odds ratio (OR) is unpredictable

Risk-averse individuals:
a) Will not buy if odds ratio (OR) is less than 1
b) Will not buy if odds ratio (OR) is equal to 1
c) Might not buy even if odds ratio (OR) is greater than 1
d) All of the above

Risk hedging can be used to:
a) Increase the extent of uncertainty
b) Reduce the impact of uncertainty on daily lives
c) Increase risk aversion
d) Promote risk-loving behavior

Lecture # 11

03129968553

The indifference curve approach to utility is based on:
a) Measurement of utility gained from different bundles of goods
b) Ranking of various bundles of goods in order of preference
c) Calculation of total utility derived from a combination of goods
d) Evaluation of marginal utility for each bundle of goods

An indifference curve represents:
a) The maximum utility a consumer can achieve
b) The combination of goods that provides equal utility
c) The quantity of goods a consumer can afford
d) The trade-off between two goods in terms of marginal utility

The marginal rate of substitution (MRS) measures:
a) The change in quantity of one good divided by the change in quantity of another good
b) The average slope of an indifference curve
c) The ratio of total utility to marginal utility
d) The price ratio between two goods

A diminishing marginal rate of substitution (MRS) is related to:
a) Perfect substitutes
b) Perfect complements
c) Diminishing marginal utility
d) Equiutility points

An indifference map shows:
a) The budget line and indifference curves intersecting
b) The levels of utility corresponding to different combinations of goods
c) The trade-off between two goods in terms of marginal utility
d) The total budget and relative price ratio

The budget line represents:
a) The maximum utility a consumer can achieve
b) The total amount of money available for purchasing goods
c) The slope of the indifference curve
d) The marginal rate of substitution

Changes in the total budget or relative price ratio can:
a) Shift the indifference curves
b) Change the slope of the budget line
c) Change the level of utility
d) Affect the marginal rate of substitution

The equation of the budget line is given by:
a) Y = –kX + M
b) lY = –kX + M
c) M = total amount of money
d) Px = slope

Lecture # 12

At the optimum consumption point, the consumer's budget line is tangent to the highest possible indifference curve. What is the condition for this point?
a) MRS = Px/Py = ΔY/ΔX = MUx/MUy
b) MRS = Px/Py = MUx/MUy
c) MRS = Px/Py = ΔY/ΔX
d) MRS = MUx/MUy

What is the relationship between income and quantity demanded for normal goods?
a) Quantity demanded increases with an increase in income
b) Quantity demanded decreases with an increase in income
c) Quantity demanded remains constant with an increase in income
d) Quantity demanded is not affected by income

What is the price consumption curve (PCC) used to derive?
a) Income consumption curve (ICC)
b) Demand curve
c) Engel curve
d) Budget line

The substitution effect of a price rise is always negative, while the income effect of a price rise on the consumption of a normal good is negative. True or false?
Answer: False

What are the limitations of indifference curve analysis?
a) Indifference curve analysis is only possible for 2 or at best for 3 goods.
b) It is almost impossible to practically derive indifference curves.
c) The consumer may not always behave rationally.
d) The consumer may not always realize the level of utility from consumption that she originally expected.
e) Indifference curve analysis cannot help when one of the goods is a durable good.

0312868853

f) All of the above

What is the condition for maximum consumer surplus when a good is free?
a) Marginal utility is zero
b) Total utility is zero
c) Marginal utility is negative
d) Total utility is equal to the maximum consumer surplus

How does the demand for goods with relatively elastic demand affect consumer surplus?
a) Consumer surplus increases
b) Consumer surplus decreases
c) Consumer surplus remains constant
d) Consumer surplus is not affected

How would a rise in the price of a complementary good affect marginal utility and market demand?
a) Marginal utility and market demand would increase
b) Marginal utility and market demand would decrease
c) Marginal utility would increase and market demand would decrease
d) Marginal utility would decrease and market demand would increase

What is the term for when an outcome may or may not occur, but its probability of occurring is known?
a) Risk
b) Uncertainty
c) Indifference
d) Probability

Why are insurance companies unwilling to provide insurance against losses arising from war or civil disorder?
a) The risks are not independent
b) The probability of such events occurring is too high
c) The potential losses are too high
d) Insurance companies are not interested in providing such coverage

Lecture # 13

According to the traditional theory of the firm, what is the firm's basic goal?
a. Maximizing sales growth
b. Maximizing product likeliness

03126983553

c. Maximizing profit
d. Driving competitors out of the market

Which of the following is NOT a type of firm?
a. Sole proprietorship
b. Partnership
c. Limited company
d. Corporation

What does entrepreneurship involve?
a. Taking risks
b. Maximizing profit
c. Increasing sales growth
d. Eliminating competitors

What does the Cobb-Douglas production function represent?
a. The relationship between inputs and outputs
b. The relationship between sales growth and profit
c. The relationship between competitors and market share
d. The relationship between labor and capital

In the short run, which input in the production process is fixed?
a. Labor
b. Capital
c. Natural resources
d. Entrepreneurship

What does the law of diminishing marginal returns state?
a. As the quantity of a variable factor increases, returns become greater.
b. As the quantity of a variable factor increases, returns become constant.
c. As the quantity of a variable factor increases, returns become less and less.
d. As the quantity of a variable factor increases, returns become negative.

What is the average physical product (APP) of a factor?
a. The total contribution of the factor to output
b. The addition to total output brought by employing an extra unit of the factor
c. The total physical product divided by the variable factor
d. The change in total physical product brought by a change in the variable factor

What happens to the average physical product (APP) if the marginal physical product (MPP) is below the average physical product?
a. APP will not change.
b. APP will rise.
c. APP will fall.

d. APP will become negative.

Lecture # 14

Which theory of production states that as we increase the amount of a variable factor with a fixed factor, initially the output will increase but eventually each extra unit of the variable factor produces less extra output?
a. Short run productivity theory
b. Long run productivity theory
c. Returns to scale theory
d. Law of diminishing marginal returns

In which time frame does the law of diminishing marginal returns apply?
a. Short run
b. Long run
c. Both short run and long run
d. Neither short run nor long run

What does the term "returns to scale" refer to?
a. Changes in output with a proportional change in all inputs
b. Changes in output with a proportional change in only one input
c. Changes in output due to technological advancements
d. Changes in output due to changes in market demand

What is the difference between external and internal economies of scale?
a. External economies depend on the size of the industry, while internal economies depend on the size of the firm.
b. External economies depend on the size of the firm, while internal economies depend on the size of the industry.
c. External economies result in increased per-unit costs, while internal economies result in reduced per-unit costs.
d. External economies lead to increased efficiency, while internal economies lead to decreased efficiency.

What is the optimum combination of factors?
a. The combination of factors that maximizes profit
b. The combination of factors that minimizes cost per unit of output
c. The combination of factors that maximizes output
d. The combination of factors that minimizes waste

When does the optimum combination of factors occur?

0312 2068553

a. When the marginal physical product of labor is equal to the marginal physical product of capital
b. When the average physical product of labor is equal to the average physical product of capital
c. When the total physical product of labor is equal to the total physical product of capital
d. When the marginal physical product of labor is equal to the average physical product of capital

Lecture # 15

What does an isoquant represent?
a. Different combinations of factors of production that yield the same level of output
b. Different levels of output that can be achieved with a fixed combination of factors
c. Different levels of output that can be achieved with varying combinations of factors
d. Different combinations of factors of production that maximize profit

What does the slope of an isoquant represent?
a. Marginal rate of technical substitution (MRTS)
b. Marginal rate of substitution (MRS)
c. Marginal productivity of labor (MPPL)
d. Marginal productivity of capital (MPPK)

The principle of diminishing MRTS is related to which concept?
a. Law of diminishing marginal returns
b. Law of increasing returns
c. Law of constant returns to scale
d. Law of decreasing returns to scale

Which of the following describes isoquants in a situation of decreasing returns to scale?
a. Equally spaced isoquants
b. Isoquants becoming closer and closer to each other
c. Isoquants becoming further and further apart from each other
d. Isoquants intersecting each other

What is the slope of an isocost line?
a. PL/PK
b. PK/PL
c. MRTS

d. MPPL

Where does the optimal combination of factors occur?
a. At the highest level of output the firm can produce
b. At the lowest cost of production for a given level of output
c. At the point where the isoquant and isocost line are tangent
d. At the point where the MRTS equals the MPPL

Lecture # 16

What are costs that vary with the level of activity or output called?
a. Variable costs
b. Sunk costs
c. Fixed costs
d. Marginal costs

What is the sum of all fixed and variable costs called?
a. Total cost (TC)
b. Average total cost (ATC)
c. Marginal cost (MC)
d. Total variable cost (TVC)

What is the total cost per unit of output called?
a. Average total cost (ATC)
b. Average variable cost (AVC)
c. Average fixed cost (AFC)
d. Marginal cost (MC)

How is average total cost (ATC) derived?
a. By summing average variable cost (AVC) and average fixed cost (AFC)
b. By dividing total cost by the quantity of output
c. By dividing total variable cost by the total units of output
d. By dividing total fixed cost by the total units of output

What does the marginal cost (MC) indicate?
a. The change in total fixed cost
b. The change in total variable cost
c. The change in total cost or total variable cost for a given change in output
d. The change in output for a given change in total cost

What is the shape of the long-run average cost (LRAC) curve?
a. Upward sloping
b. Downward sloping
c. Flat
d. U-shaped

When does a firm experience economies of scale?
a. When LRAC becomes flat
b. When LRAC has a downward slope
c. When LRAC has an upward slope
d. When LRAC is constant

What does the long-run marginal cost (LRMC) indicate?
a. The change in total cost for each incremental unit
b. The change in total variable cost for each incremental unit
c. The change in total cost for each incremental unit in the long run
d. The change in output for each incremental unit in the long run

How is the long-run average cost (LRAC) curve derived?
a. By summing the short-run average cost (SRAC) curves
b. By dividing total cost by the quantity of output
c. By dividing total variable cost by the total units of output
d. By dividing total fixed cost by the total units of output

What is the LRAC curve shown as in practice?
a. A smooth U-shaped curve
b. A straight line
c. A downward sloping curve
d. A series of interconnected points

Lecture # 17

What are revenues for a firm?
a) The sale proceeds that accrue to a firm when it sells the goods it produces
b) The cost of goods produced by a firm

c) The total cost of running a firm
d) The difference between total revenue and total cost

Which concept applies to the relationship between price and total revenue?
a) Total Cost (TC)
b) Average Revenue (AR)
c) Marginal Cost (MC)
d) Marginal Revenue (MR)

What defines a price-taking firm?
a) A firm that has the ability to influence market price
b) A firm that cannot influence market price
c) A firm that produces goods with perfect substitutes
d) A firm that operates in perfect competition

Which type of firm is a price maker?
a) A firm in perfect competition
b) A firm in monopoly
c) A firm with perfect substitutes
d) A firm in monopolistic competition

What is the formula for profit?
a) Profit = Total Revenue (TR) - Total Cost (TC)
b) Profit = Average Revenue (AR) + Average Cost (AC)
c) Profit = Marginal Revenue (MR) - Marginal Cost (MC)
d) Profit = Total Revenue (TR) / Total Cost (TC)

How is profit maximization studied using the MR-MC approach?
a) By identifying the point where MR cuts MC
b) By calculating the difference between TR and TC
c) By comparing AR and AC curves
d) By analyzing the demand curve

What does the intersection of MR and MC represent for a firm?
a) The profit-maximizing output
b) The point of maximum revenue
c) The shutdown point
d) The point of minimum cost

What happens when a firm's average revenue (AR) is below its average variable cost (AVC)?
a) The firm shuts down
b) The firm maximizes profit

c) The firm increases production
d) The firm lowers prices

What does the minimum point of the average variable cost (AVC) curve represent?
a) The point of maximum profit
b) The point of minimum cost
c) The point of shutdown
d) The point where AVC intersects with average cost (AC)

What is the likely effect of trade and investment opening up between eastern and western Europe on industries with substantial economies of scale?
a) Plants will tend to be located near the center of the enlarged market
b) Plants will be scattered around Europe
c) Transport costs will decrease
d) The overall amount of space required will increase

Lecture # 18

In profit maximization analysis, the profit is maximized at the point where:
a) MR = MC
b) MR > MC
c) MR < MC
d) MR = TC

The equation for total profit is:
a) Tπ = TR - TC
b) Tπ = TR + TC
c) Tπ = TR / TC
d) Tπ = TR * TC

The slope of the marginal revenue (MR) curve is:
a) Half the slope of the average revenue (AR) curve
b) Equal to the slope of the AR curve
c) Twice the slope of the AR curve
d) Not related to the slope of the AR curve

Market structure refers to:
a) The number of buyers and sellers in the market
b) The extent of barriers to entry in the market
c) The nature of the product in the market

d) All of the above

The main assumptions of perfect competition include:
a) Large number of buyers and sellers
b) No barriers to entry
c) Identical/homogeneous products
d) All of the above

Concentration ratio is used to assess:
a) The level of competition in an industry
b) The market-clearing price and quantity
c) The equilibrium analysis of a firm
d) The profit-maximization point

In the short run under perfect competition, a firm can settle at equilibrium where it:
a) Makes supernormal profits
b) Makes normal profits
c) Incurs losses
d) All of the above

Lecture wise short notes available:
(Short Questions file + Long Questions file + MCQ's)
03126968553